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29 August 2013

Ag. Chief Executive
Capital Markets Authority
Embankment Plaza, Upper Hill
Longonot Road
Nairobi

The Chief Executive
Nairobi Securities Exchange
Nation Center, 1st Floor
Kimathi Street
PO Box 43633-00100
Nairobi

Dear Sirs,

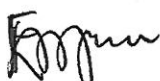
RE: UNAUDITED HALF-YEAR RESULTS FOR THE PRIOD ENDED 30TH JUNE 2013

Reference is made to the above.

Enclosed herewith, kindly find the unaudited half-year results for the period ended 30th June 2013 comprising the following:

1. Consolidated Statement of Profit or Loss;
2. Consolidated Statement of Financial Position;
3. Consolidated Statement of Changes in Equity; and
4. Consolidated Statement of Cash Flows.

Yours Faithfully, ✓


Esther Ndegi Njiru,
Company Secretary

Directors: Lee G. Karuri (Chairman); Dr. B. Mbira Gikonyo (Vice Chairman); Lucie W. Maina (Secretary); Eng. G. Mbugua Kamau (Treasurer); Dan O. Arendo; Ken Wathome; Jane Adam, Nyagah Kithinji; Mbugua Gecaga; Gilbert Kibe

Home Afrika Limited
Management Accounts
For the period ended 30 June 2013

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE

	<i>Unaudited</i> 6 Months 2013 Shs	<i>Audited</i> 12 Months 2012 Shs
Revenue	420,721,000	839,116,340
Cost of sales	(82,696,423)	(331,897,043)
Gross profit	338,024,577	507,219,297
Other operating income	2,279,427	5,083,007
Selling and distribution	(26,653,308)	(42,427,279)
Administrative expenses	(65,482,284)	(110,572,075)
Other operating expenses	(4,604,925)	(21,577,619)
Operating profit	243,563,488	337,725,331
Finance costs	(7,343,221)	(79,875,635)
Profit before tax	236,220,267	257,849,696
Tax charge	(79,950,566)	(90,169,745)
Profit for the year	156,269,701	167,679,951
Profit attributable to:		
- Owners of the parent	80,675,398	94,592,746
- Non-controlling interest	75,594,303	73,087,205
	156,269,701	167,679,951

INCOME

Home Afrika Limited
Management Account and consolidated financial statements
For the period ended 30 June 2013

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Unaudited 6 months 2013 Shs	Audited 12 Months 2012 Shs
CAPITAL EMPLOYED		
Share capital	405,255,320	405,255,320
Share premium	68,842,038	68,842,038
Accumulated deficit	<u>(23,116,815)</u>	<u>(84,332,213)</u>
Shareholders' funds	<u>450,980,543</u>	<u>389,765,145</u>
Non-controlling interests	<u>55,168,129</u>	<u>(20,426,174)</u>
	<u>506,148,672</u>	<u>369,338,971</u>
Non-current liabilities		
Preference share capital	150,000,000	150,000,000
Deposit for shares	135,786,941	50,748,500
Borrowings	<u>39,864,777</u>	<u>39,864,777</u>
	<u>325,651,718</u>	<u>240,613,277</u>
	<u>831,800,390</u>	<u>609,952,248</u>
REPRESENTED BY		
Non-current assets		
Property and equipment	1,005,112,485	895,744,891
Intangible asset	514,401	236,503
Goodwill on consolidation	74,284,247	74,284,247
Financial asset	2,000	2,000
Deferred tax	<u>12,458,035</u>	<u>12,458,035</u>
	<u>1,092,371,167</u>	<u>982,725,676</u>
Current assets		
Inventories	1,171,345,782	1,271,606,432
Trade and other receivables	222,305,373	114,326,433
Cash and cash equivalents	<u>83,999,655</u>	<u>153,078,889</u>
	<u>1,477,650,810</u>	<u>1,539,011,754</u>
Current liabilities		
Deposits payable	440,659	440,659

Trade and other payables	1,502,956,182	1,748,715,788
Borrowings	153,750,042	157,247,262
Tax payable	<u>81,074,704</u>	<u>5,381,473</u>
	<u>1,738,221,587</u>	<u>1,911,785,182</u>
Net current liabilities	<u>(260,570,778)</u>	<u>(372,773,428)</u>
	<u>831,800,390</u>	<u>609,952,248</u>

Home Afrika Limited

Management Account and consolidated financial statements

For the period ended 30 June 2013

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Ordinary share capital Shs	Share Premium Shs	Retained Earnings Shs
Year ended 31 December 2012			
At start of year	204,000	456,718,358	(140,077,959)
Total comprehensive income for the year	-	-	94,592,746
Transactions with owners:			
Issue of shares		17,175,000	-
Transfer from share premium account	405,051,320	(405,051,320)	
Dividend:			
-Final for 2011 (paid)	-	-	(9,850,000)
-Interim for 2012 (paid)	-	-	(28,997,000)
At the end of the year	<u>405,255,320</u>	<u>68,842,038</u>	<u>(84,332,213)</u>
Period ended 30 June 2013			
At start of year	405,255,320	68,842,038	(84,332,213)
Total comprehensive income for the year			80,675,398
Dividend:			
-Interim for 2013 (paid)	-	-	(19,460,000)
At the end of the year	<u>405,255,320</u>	<u>68,842,038</u>	<u>(23,116,815)</u>

Non Controlling interests Shs	Total Shs
(93,513,779)	223,330,620
73,087,205	167,679,951
400	17,175,400
	-
-	(9,850,000)
-	(28,997,000)
<u>(20,426,174)</u>	<u>369,338,971</u>
(20,426,174)	369,338,971
75,594,303	156,269,701
-	(19,460,000)
<u>55,168,129</u>	<u>506,148,672</u>

Home Afrika Limited
Management Account and consolidated financial statements
For the period ended 30 June 2013

CONSOLIDATED STATEMENT OF CASH FLOWS

	2013	2012
Reconciliation of profit before tax to cash from operations:		
Profit before tax	236,285,490	257,849,696
Adjustment for:		
Depreciation on property and equipment	3,853,073	7,517,478
Amortization intangible assets	197,103	236,267
Interest expenses	13,936,593	78,471,405
Foreign exchange difference	-	3,361
Gain on disposal of property and equipment	-	(122,463)
Interest income	-	(1,218,016)
Changes in working capital:		
-Amounts receiveable on shares	-	9,175,000
-Inventories	100,260,650	61,084,806
-trade and other receivables	(107,978,940)	(63,528,764)
-trade and other payables	(245,759,606)	292,694,618
Cash from operations	794,363	642,163,388
Operating activities		
Cash from operations	794,363	642,163,388
Interest paid	(13,936,593)	(78,471,405)
Tax paid	(5,234,626)	(1,198,080)
Net cash from operating activities	(18,376,856)	562,493,903
Investing activities		
Cash paid for purchase of property and equipment	(115,805,819)	(126,156,372)
Cash paid for purchase of intangible assets	(475,000)	-
Reversal of interest on loan facility to expense	-	2,426,007
Proceeds from disposal of property and equipment	-	981,106
Interest received	-	1,218,016
Investment in associates	-	(2,000)
Net cash used in investing activities	(116,280,819)	(121,533,243)
Financing activities		
Net movement in bank loan	(3,497,220)	(372,770,174)
Proceeds from shareholders loan	-	1,400,000
Dividend paid	(19,460,000)	(38,847,000)

Proceeds from issue of share capital	-	(400)
Proceeds from share premium	-	8,000,000
Proceeds from deposits of shares	<u>85,038,441</u>	<u>50,748,500</u>
Net cash generated from/(used in) financing activities	<u>65,578,441</u>	<u>(351,469,074)</u>
Increase/(decrease) in cash and cash equivalents	<u>(69,079,234)</u>	<u>89,491,586</u>

Movement in cash and cash equivalents

At start of period/year	153,078,889	63,589,864
(Decrease)/Increase	(69,079,234)	89,492,386
Effect of exchange rate changes	<u>-</u>	<u>(3,361)</u>
At end of period/year	<u>83,999,655</u>	<u>153,078,889</u>